

Tata Consultancy Services - One page company profile



Tata Consultancy Services Limited (TCS) is an Indian multinational technology company specializing in information technology services and consulting. Headquartered in Mumbai, it is a part of the Tata Group and operates in 150 locations across 46 countries. As of 2024, Tata Sons owned 71.74% of TCS, and close to 80% of Tata Sons' dividend income came from TCS. TCS ranked seventh on the Fortune India 500 list for 2024.

INR (in Crs)

Key Financial Metrics	FY 2019	FY 2020	FY 2021	FY 2022	FY 2023
Total Revenue	150774	161541	167311	195772	228907
yoy growth in revenue	19%	7%	4%	17%	17%
EBITDA Margin (%)	29%	29%	29%	29%	27%
EBIT Margin (%)	28%	27%	27%	27%	25%
Net Profit Margin (%)	21%	20%	19%	20%	18%
Earnings Per Share (in Rs)	83	86	87	104	115

Key Financial Ratios	FY 2019	FY 2020	FY 2021	FY 2022	FY 2023
ROE	35.9%	37.0%	37.7%	43.3%	46.6%
ROCE	47.6%	47.5%	47.9%	55.3%	59.6%
Cash Ratio	1.90	1.32	1.13	1.14	1.10
Financial leverage Ratio	1.27	1.42	1.49	1.57	1.57
Asset Turnover Ratio	1.38	1.38	1.34	1.45	1.61
Net Operating cycle (CCC)	-198	-236	-258	-324	-301

Key Takeaways:

- Net Profit Margin is best in the IT Sector around 19-20% in the last 5 years.
- Consistently high ROE & ROCE in last 5 years showing strong capital efficiency.
- Interest coverage ratio becomes low & high debt to equity ratio because of increase in debt in last 5 years.
- Recovery in Profitability Post COVID in FY22 & FY23.

Key Risks:

- Revenue heavily dependent on BFSI & North America clients.
- Slowdown in Global IT spending affecting Growth.
- High Employee Attrition - talent retention challenge.

Data source: Class study Material & Financial Statements (FY14-FY23)

